

Sotefin Bharat Limited

SME IPO – 100% Book Built, Fresh Issue Only · Order book ₹677.09Cr as of 2025-06-30 ·
Sources: DRHP, Screener.in company page

Timing note: Screener cites a later 'RHP-Final' PDF dated Jul 2026; DRHP price band was blank ([●]) and never finalized in this document.

ISSUE STRUCTURE 100% Fresh 50,00,000 shares · no OFS	REVENUE CAGR (3YR) 46% ₹37.2Cr→93.8Cr, FY23-25	FY25 RONW / ROCE 31% / 34% Q1FY26: 9.3% / 10.7%	ORDER BOOK (JUN'25) ₹677Cr 7.2x FY25 revenue · unexecuted
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01 VERDICT

WATCH-POST-LISTING. Strong operating quality (high/improving margins, RoNW/ROCE 29-34%, de-levered balance sheet, 100% fresh issue with no OFS, clean audit, 7.2x order-book cover) but no fraud-grade red flags either way. Held back from a clean SUBSCRIBE by: near-zero independent IP and single-supplier tech dependency (Sotefin SA, Switzerland), extreme customer concentration (top-10 up to 98.6% of revenue), and a stretched working-capital cycle (debtor days 163 → 235) consuming 61% of issue proceeds. No listed peer exists for a valuation cross-check. Track customer diversification and CFO conversion for 2-3 quarters before sizing.

02 BUSINESS, PROMOTERS & ISSUE PROCEEDS

Business: Turnkey mechanised/automated parking (puzzle, tower, robotic) via Swiss tech (Sotefin SA-licensed Silomat shuttle/dolly), manufactured at Bagnan, WB (4,000/10,000 car-space capacity used). [DRHP p.35, p.196]
Mix (FY25): Product — robotic parking 90%, puzzle tower parking 10%. Customer — government bodies 56%, private developers 34%, export 10%. [DRHP p.35, p.196]
Promoters: Jignesh Pravinchandra Sanghavi (Promoter, 20.56%); Pisa International Private Limited (Promoter, 20.56%); Shraddha Tejas Sheth (Promoter Group, 0.19%); Sheetal Jignesh Sanghavi (Promoter Group, 0.23%); Proviron Technology SA (Top-10 non-promoter (Sotefin-linked), 20.56%). [DRHP p.25-26]

OBJECT OF ISSUE	₹ LAKH	FY27/28
Manufacturing facility, Kolkata (adjacent to existing Bagnan plant)	1,687.06	1,687.06/0.00
New office premises	817.06	817.06/0.00
Working capital funding	4,000.00	3,000.00/1,000.00
General corporate purposes	capped at lower of 15% of gross proceeds or ₹10 Cr	—/—

61% of net proceeds allocated to working capital – directly addresses the company's own stretched receivables cycle rather than pure growth capex. [DRHP p.104-106]

03 FINANCIALS, RESTATED (₹ LAKH) – FY25 CELL COLORED VS FY24, DIRECTION THAT MATTERS PER METRIC

METRIC	FY23	FY24	FY25	Q1FY26 (UNANNUALISED)
Revenue	3720	5628	9378	3147
EBITDA margin	20.7%	18.7%	19.7%	24.6%
PAT	400	625	1131	494
PAT margin	10.7%	11.1%	12.1%	15.7%
RoNW	29.2%	33.2%	31.2%	9.3%
ROCE	26.5%	26.8%	34.4%	10.7%
Debt-Equity	1.09	0.86	0.24	0.40
CFO (₹L)	-412	133	402	-505
Debtor days	163	239	218	235
Days Working Capital	255	217	166	154
Top-10 customer conc.	86.3%	87.3%	84.8%	98.6%

PAT positive every period shown, yet CFO negative in FY23 and Q1FY26 despite a 24.64% EBITDA margin that quarter. Consistent with worsening debtor days (163 → 235), not a restatement or accounting-quality issue. [DRHP p.26, p.125-126 (KPI table certified by SK Patodia and Associates); Q1FY26 debtor-days figure from Screener.in live data]

04 RELATED-PARTY TRANSACTIONS, LITIGATION & CONTINGENT LIABILITIES

RELATED PARTY	Relationship	Nature (FY25)	Amount / status
KRISHA INFRASOL PRIVATE LIMITED	Promoter-group entity	Purchases, loan taken/repaid	273.96L (2.92% of rev) — Purchases
RELCON INFRAPROJECTS LIMITED	Promoter-group entity	Sales, loan taken, rent expense	56.00L (0.6% of rev) — ₹118L loan outstanding
PISA INTERNATIONAL PRIVATE LIMITED	Promoter entity	Loan taken	—
PACIANO HOSPITALITY PRIVATE LIMITED	Promoter-linked (47.80% equity held by promoters)	Inter-corporate loan given; corporate guarantee	1,025.00L (10.93% of rev) — ₹1,025L guarantee given FY24, waived FY25 — no cash outflow
ARUP CHOUDHURI / JIGNESH P. SANGHAVI (PROMOTERS)	Promoter	Directors' remuneration + staff advance reimbursements	78.00L (6.9% of PAT)

LITIGATION	COUNT	₹ LAKH	CONTINGENT LIABILITY	MAR '24	MAR '25	JUN '25
Against company — GST dispute (DRC-01 notice, reply filed via DRC-06 Nov 27 2024)	1	35.30	Corporate guarantee to Paciano Hospitality (combined w/ Pisa International & Project Engineering)	1,025.00	0.00	0.00
Against promoters — Tax proceedings	8	33.79	Bank guarantee for performance obligations	265.87	706.00	694.00
Against directors — Tax proceedings	2	2.55	GST demand	0.00	37.32	37.32
Criminal — against co./promoters/KMP	0	—	Letter of credit for import	185.75	641.86	0.00
			Settlement under negotiation	0.00	0.00	25.60

2 independent directors (Sitaram Janardan Kunte, Durga Shanker Mishra) named in certain cases solely as pro-forma parties due to prior senior government positions – no personal financial liability. [DRHP p.27-30, p.283, p.19462-19556]

[DRHP p.28, Note 33 Restated Financial Information]

Clean **Auditor:** S S Kothari Mehta & Co. LLP, Chartered Accountants, 2025-09-26 (re-appointment); originally appointed 2024-06-23 to fill casual vacancy. Predecessor: Amit Ganguly & Co. (Kolkata, small local firm; term expired 2023-06-30). Qualifications: None disclosed in restated financial statements. [DRHP p.78]
Industry: Company's own 3-year revenue CAGR (46%) is roughly 10x the India-specific industry CAGR (~4.6%) cited in the same issuer-paid report — growth is being driven by market-share gains / large project wins, not a rising domestic tailwind. Global CAGR cited 12-18%; India CAGR **4.6%** (\$679.8M → \$888.1M). [DRHP p.34, p.105, p.132 (Industry Overview), Risk Factors p.34]

No listed anchor **Peer/valuation:** None — DRHP states: 'There are no listed entities in India whose business portfolio is comparable with that of the Company' / 'Our Company does not have any listed industry peers in India.' Weighted EPS ₹6.65, weighted RoNW 31.53%, NAV/share ₹39.93 (Mar'25). [DRHP p.123-124]
Post-listing: CMP ₹215, mkt cap ₹357Cr, trailing P/E 20.6x. Screener cites a later 'RHP-Final' PDF dated Jul 2026; DRHP price band was blank ([●]) and never finalized in this document.

06 RED-FLAG SCAN

FLAG	EVIDENCE
OFS component / promoter cash-out	Issue is 100% fresh issue — no OFS, no promoter monetisation through this listing.
Auditor qualifications / changes	No qualifications in restated financials; auditor upgraded to a larger peer-reviewed firm (S S Kothari Mehta) in June 2024, standard pre-IPO practice.
Litigation, promoters/company	No criminal proceedings against company, promoters or KMPs. GST dispute (₹35.30L) and modest tax disputes against promoters/directors.
Promoter remuneration vs PAT	Combined promoter director remuneration ~₹78L in FY25 vs PAT of ₹1,130.79L (~6.9%) — not extreme.
Negative CFO vs positive PAT	CFO negative in FY23 (₹-411.91L) and Q1FY26 (₹-505.33L) despite consistent reported profit; driven by stretched receivables.
Customer concentration	Top-10 customers 84.85%-98.59% of revenue across periods; top-1 customer up to 44.58% of quarterly revenue.
Related-party value extraction	₹1,025L corporate guarantee extended to promoter-linked Paciano Hospitality; unwound/waived FY25 with no cash loss, but represents capital allocation outside core business.
Working capital cycle stretched pre-IPO	Debtor days worsened from 163 (FY23) to 235 (latest); ~61% of net IPO proceeds allocated to working capital.
Industry report reliability / self-commissioned	Sole industry data source is issuer-paid D&B report; headline global CAGR (12-18%) is materially more favourable than the India-specific CAGR (~4.6%) in the same report.
IP protection / technology dependency	Only 1 registered trademark, zero patents; core robotic-parking technology licensed from a single Swiss supplier (Sotefin SA), which is also a ~20.6% shareholder via Proviron Technology SA.

07 ADDITIONAL INSIGHTS

SECTOR POSITIONING

First (and currently only) India-listed pure-play in mechanised/robotic automated parking — no direct listed comparable exists; nearest indirect proxies (industrial automation, elevator/escalator majors) sit in different end-markets and aren't a clean read-across. [DRHP p.123-124 (no listed peers disclosure)]

REVENUE GEOGRAPHY SPLIT FY25 INR LAKH

MARKET	AMOUNT INR LAKH	PCT OF REVENUE
India (domestic)	8415.35	89.7%
Export	962.31	10.3%

SMART CITY CAPEX DEPENDENCY

A meaningful share of the government order pipeline (56% of FY25 revenue) is linked to Smart Cities Mission-style municipal infrastructure spend; a slowdown in municipal capex cycles is a second-order risk the DRHP does not separately quantify.

1YR POST LISTING SCENARIO

BEAR	BASE	BULL
Customer loss or tender delay drags growth below 15%, working-capital stress persists — re-rate toward 12-15x earnings.	46% growth moderates to 25-30% as the revenue base scales and working capital stabilises post-raise — range-bound 18-22x.	New Kolkata capacity plus export scale-up sustains 35%+ growth and debtor days normalise — re-rate toward 25x+.

08 WHAT COULD BE WRONG WITH THIS ANALYSIS

- This is a Draft RHP dated Dec 30, 2025 — price band, issue expenses, and final promoter post-issue holding were all left blank ([●]); a later 'RHP-Final' (per Screener citation, Jul 2026) may carry different figures.
- No listed Indian peer exists, so there is no independent cross-check on issue price or current market price fairness — the entire valuation argument rests on the company's own restated numbers and its own commissioned D&B market sizing.
- Extraction was performed via text-layer parsing of a 449-page PDF; multi-column tables (promoter shareholding, contingent liabilities) can occasionally misalign on parse — spot-check any figure used in a trading decision against the source PDF.
- The ₹677.09 Cr order book is unexecuted backlog, not contracted-and-collectible revenue; given the disclosed government payment-cycle and debtor-day issues, conversion timing is uncertain and not modeled here.